

How do you understand something that is not visible? A financial product is invisible and is created when the person selling it describes it, or when it is described in a brochure or website. We need to evaluate a financial product's features. What are the most important features? The sellers will talk up all kinds of features, but at the very basic level, an investment-oriented financial product must be evaluated on six parameters.

Cost

What does it cost me to buy this product? When we buy an insurance policy or a mutual fund, it is not very obvious that there is a cost. Financial products have at least three kinds of costs that you must know about. First, there is a cost to buy the product. Look at this as an entry ticket, a ticket that allows you to board the bus. Different products, even if they do the same thing, have different entry costs, also called loads. These are commissions that the person selling collects from the manufacturer of the financial product.

Understand that in certain kinds of life insurance products, like endowment and money-back plans, the cost of buying the product can be as high as 42 per cent. If your premium is Rs 1 lakh, Rs 42,000 goes straight to the agent selling it to you. In addition, they charge 'policy administration charges' or the cost to the insurance company to make that sale. Does this explain the hard sell you face on life insurance products?

In a ULIP the front load is about 8–9 per cent. In a mutual fund, there is no cost of entry. The front load was brought to zero in 2009. In a bank FD, PPF and PF there is no front load. The National Pension Scheme (NPS) has a front load of 0.25 per cent of your contribution, or Rs 250 on a Rs 1 lakh investment. Front costs reduce the money that goes to work in a financial product. These also encourage the sellers to 'churn' you, or nudge you to sell your old product and keep buying new ones.*

Second, there is an ongoing cost. This is the money you need to pay each year for you to stay in the product. Also called expense ratio, this is usually a percentage of the money in the investment. If you invested Rs 1 lakh and the money is now worth Rs 2 lakhs, you will pay the expense ratio on Rs 2 lakhs.